COVERAGE ANALYSIS

April 29, 2026 | step275_verify

Perspective: Neutral / Both Sides

This analysis presents coverage gaps and exposure statements without taking sides.

Detection focuses on landlord-favorable asymmetry.

DOCUMENT OVERVIEW

Single-document coverage analysis -- no reference template

Parties: MERIDIAN COMMERCIAL PROPERTIES LLC (Landlord) / WELLNESS PLUS PHARMACY LLC (Tenant)

Property: 4500 Commerce Boulevard, Fairfield, State of Columbia

Lease Type: Retail / Shopping Center

Term: 5 years (Commencement Date (as specified in Section 4.1) -- 5 years after the Commencement Date)

Renewal: One (1) additional period of five (5) years

Rent: $19,600.00

Escalation: 3% annually

Security: Three (3) months' Base Rent

CAM/OpEx: Triple net lease; Tenant pays Proportionate Share of CAM Charges

Permitted Use: Retail business for the operation of a licensed pharmacy and the sale of health and wellness products

Key Terms:

- 5-year initial term with one 5-year renewal option.
- Base rent of $19,600.00/month with 3% annual compounding escalation.
- Triple net lease structure where tenant pays proportionate share of CAM charges.
- Tenant granted exclusive right to operate a pharmacy and health/wellness business in the center.
- Early termination right after 2nd Lease Year with 180 days' notice and 6 months' rent fee.

RUN SYNOPSIS

1 require attention, 4 asymmetric terms, 6 worth reviewing, 7 covered (across 18 issue areas analyzed)

PROVISION CHECKLIST

✕ **Needs Attention:** LP-09 Subletting & Assignment

≠ **Asymmetric Terms:** LP-07 Common Area Maintenance (CAM), LP-11 Default & Remedies, LP-13 Indemnification & Liability, LP-14 Force Majeure

■ **Worth Reviewing:** LP-02 Rent Escalation, LP-03 Lease Term & Renewal, LP-08 Insurance Requirements, LP-10 Alterations & Improvements, LP-12 Early Termination, LP-17 Dispute Resolution

✓ **Covered:** LP-01 Rent & Payment Terms, LP-04 Security Deposit, LP-05 Permitted Use, LP-06 Maintenance & Repairs, LP-15 Signage Rights, LP-16 Parking, LP-18 Holdover Provisions

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ASYMMETRIC PROVISIONS

The following provisions tilt toward one party based on detected patterns. Detection focuses on landlord-favorable asymmetry.

[!] **LP-07 LP-07** — TILTS TOWARD LANDLORD

Missing: excluded expense categories

Tenant bears uncapped and potentially expanding CAM charges because the share calculation, included cost categories, and annual increases are not capped or tightly defined. Tenant has no ability to audit or challenge the pass-throughs, so billing errors, reclassifications, or cost shifting by Landlord become Tenant's risk and can materially increase occupancy costs.

[!] **LP-11 LP-11** — TILTS TOWARD LANDLORD

Missing: tenant's right to cure third-party defaults

Tenant can be declared in default quickly and without prior notice, giving Landlord leverage to accelerate remedies (including termination and eviction) before Tenant has a realistic chance to fix payment or operational issues. Tenant bears the cost and disruption of an unusually short non-monetary cure period, increasing the risk of losing the space over minor or administrative breaches.

[!] **LP-13 LP-13** — TILTS TOWARD LANDLORD

Missing: cap on liability (if any)

Tenant bears broad indemnity exposure while getting only a narrow indemnity back from Landlord (limited to gross negligence or willful misconduct), so routine landlord-side negligence and related third-party claims can still land on Tenant. Landlord is protected far more than Tenant, leaving Tenant to absorb defense costs and losses with limited ability to shift risk back.

[!] **LP-14 LP-14** — TILTS TOWARD LANDLORD

Missing: partial rent abatement or adjustment for operational impairment

Tenant has limited force majeure relief and no meaningful rent protection unless the space becomes wholly untenantable, so Tenant can be stuck paying full rent even when operations are materially impaired (e.g., utility loss, restricted access, or regulatory shutdown). Tenant also bears risk that narrow/unclear event definitions and excused-obligation scope leave key performance duties unexcused while Landlord's obligations are not equally affected.

COVERAGE & GAPS

The following provisions are incomplete, missing, or have integrity issues that warrant attention regardless of perspective.

[!] **LP-09 LP-09** — INCOMPLETE

Missing: recapture right (landlord can terminate and lease directly), assignment in connection with sale of business

Landlord can recapture the space if Tenant seeks to sublet or assign, letting Landlord terminate Tenant's lease and lease directly while Tenant loses the deal and any expected transfer value. Tenant also lacks clear rights to assign in connection with a sale of its business, which can block or delay an exit transaction or force Tenant to keep paying rent after selling.

[~] **LP-02 LP-02** — INCOMPLETE

Missing: escalation cap or ceiling, calculation methodology

Rent escalation lacks a cap or fully defined calculation methodology; future rent increases may become disputed or difficult to price over the lease term

[~] **LP-03 LP-03** — INCOMPLETE

Missing: rent at renewal (formula or fair market value mechanism)

Lease term and renewal rights are incompletely defined; the absence of a renewal rent mechanism leaves both occupancy continuity and pricing unresolved at expiration

[~] **LP-08 LP-08** — INCOMPLETE

Missing: waiver of subrogation

Insurance requirements are incomplete; the missing waiver of subrogation leaves either party exposed to recovery actions by the other's insurer following a covered loss

[~] **LP-10 LP-10** — INCOMPLETE

Missing: landlord contribution to tenant improvements (if any)

Alteration rights and improvement-cost allocation are undefined; ownership and removal obligations for tenant-funded improvements at lease end are unresolved

[~] **LP-12 LP-12** — INCOMPLETE

Missing: unamortized tenant improvement cost recovery, co-tenancy termination trigger (if applicable)

No early termination right is defined; full-term obligations persist unless another lease provision independently permits termination

[~] **LP-17 LP-17** — INCOMPLETE

Missing: time limit for bringing claims

Dispute framework is incomplete; the absence of a defined claims-limitation period and clear fee allocation leaves enforcement cost and timing exposure on both sides

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RUN DETAILS

Models Used:
Extraction: Gemini 3.1 Pro (Google)

Processing: 6 API calls total, 2.3 minutes

Pipeline: CAM v2.5.3 -- Constrained Assertion Method

Analysis mode: Analyze (coverage & gaps)